

AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF BKM INDUSTRIES LIMITED

(A Company under Corporate Insolvency Resolution Process (CIRP), Kolkata)

REPORT ON THE AUDIT OF THE STANDALONE IND AS FINANCIAL STATEMENTS

Initiation of Corporate Insolvency Process

The Hon'ble National Company Law Tribunal ("NCLT"), Kolkata Bench, admitted petition for initiation of Corporate Insolvency Process ("CIRP") under the provisions of the Insolvency and Bankruptcy Code, 2016 ("the Code") and related rules and regulations issued thereunder, filed by financial creditor Trimurti Associate Pvt. Ltd. under section 7 vide order no. CP(IB)/2078(KB)/2019 delivered on 30th December 2020 and appointed an Interim Resolution Professional ("IRP") Mr. Kanchan Dutta, to manage affairs of the Company in accordance with the provisions of Code. The Committee of Creditors of the Company appointed with the requisite voting share, in its meeting held on 28th January 2021 the IRP was confirmed as Resolution Professional ("RP"). The ex-RP Mr. Kanchan Dutta was replaced by the current RP Mr. Pratim Bayal by an order dated 17th Feb 2022. Upon initiation of the CIRP proceedings, the management of affairs of the Company and power of Board of Directors were vested with ex-RP and now with current RP. As per the order of Hon'ble NCLT Section 14 of the IB Code, moratorium is applicable until the resolution plan is approved by the Hon'ble NCLT or order of liquidation is passed by the Hon'ble NCLT.

QUALIFIED OPINION

We were engaged to audit the accompanying Ind AS Standalone Financial Statements of BKM Industries Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2023, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended on that date, notes and a summary of the significant accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements").

We do not express an opinion on the accompanying Ind AS Financial Statements of the Company. Because of the significance of matters described in the Basis of Qualified Opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these Ind AS Financial Statements.

BASIS FOR QUALIFIED OPINION

The Company is undergoing CIRP w.e.f. 30th December 2020 and there were no operations in all six manufacturing facilities. Ex- RP tried to take handover of all books and accounts of CD as part of CIRP process but could not receive any information/data from the representatives of the CD. Ex-RP had to file a non-cooperation application with Hon'ble NCLT mentioning this non-cooperation from the

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promoter/directors of the CD. The application is now disposed off by Hon'ble NCLT as the CIRP process has ended with successful resolution of the CD. The accounting/financial data of CD was stored in a cloud server maintained by NTT Global Data Centers & Cloud Infrastructures India Pvt. Ltd. formerly called as Netmagic IT Services Pvt. Ltd. The payments for the service provider were long overdue. The erstwhile RP had mentioned in his handover that outstanding payments for the accounting server remained unpaid as the same was not approved by the Committee of Creditors for payment and consequently the entire accounting data stored in the cloud server was deleted by the service provider on grounds of long outstanding dues. Current RP requested the service provider that he will try to get his unpaid dues during the CIRP paid by CoC members and he should provide the backup financial information to him as it is a crucial data related to CD. But on his denial of the same RP had to file an application against the service provider which is now disposed off by Hon'ble NCLT as the CIRP process has ended with successful resolution of the CD.

In absence of any information/data from the promoters/directors of the CD and due to their non-cooperation, the current RP has to rely only on an excel spreadsheet provided by ex-RP, pertaining to the period 01st April 2020 till 31st December 2020 as a part of his handover which he claimed to be the only data dump received from the Corporate Debtor.

The Ind AS Standalone Financial Statements for the financial year ended 2021 was prepared by the current Resolution Professional only on the basis of aforementioned excel and bank statement of account maintained with PNB as a CIRP Bank Account. Subsequently, on this basis the Ind AS Standalone Financial Statements for the year 2022 and then for the year under audit has been prepared by the current Resolution Professional. Under such circumstances, in the absolute absence of any evidence substantiating the operations of the Corporate Debtor during the aforementioned period of 01st April 2020 to 31st December 2020 we can not express any opinion with respect to current status of closing balances of the financial year 2021 carried down as opening balances for the year 2021-22 and subsequently for the year 2022-23 in order.

EMPHASIS OF MATTERS

We draw attention to the following information pertaining to the Standalone Ind AS Financial Statements.

As per Note 59 of the audited standalone Ind AS financial statements for the year ended 31st March 2020 the Company had sold lease hold land and discontinued its manufacturing operations of one of its plant located at Bhopal district in the state of Madhya Pradesh. Accordingly, net profit/ (Loss) from such manufacturing operation of an amounting to INR (23) lakhs was disclosed separately in the Statement of Profit and Loss of the Company for the year ended March 31, 2020 as a separate item in accordance with Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations". Furthermore, the Property, Plant and Equipment (Refer Note No 5 to the Standalone Financial Statements) amounting to INR 67 lakhs with respect to this plant classified in accordance with Ind AS 105 "Non-current Assets Held for Sale and

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Discontinued Operations" and disclosed under "non-current assets held for disposal" in the Balance Sheet as at 31st March 2020. The same is carried forward as it is in the Balance Sheet as at 31st March 2023.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Ind AS financial statements for the financial year ended March 31, 2023.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREUPON

The Company's Board of Directors/ Resolution Professional/Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Standalone Ind AS financial statements and our auditor's report thereon. The Board of Directors report is expected to be made available to us after the date of this auditor's report. Our opinion on the Standalone Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the standalone financial statements, our responsibility is to read the other information when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. When we read the Company's annual report, if we conclude that there is a material misstatement of this other information, we are required to communicate the matter to those charged with governance.

RESPONSIBILITY OF MANAGEMENT AND RESOLUTION PROFESSIONAL AND THOSE CHARGED WITH GOVERNANCE FOR THE STANDLONE FINANCIAL STATEMENTS

The Company's Board of Directors/Resolution Professional / Management is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone Ind AS financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively

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for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone Ind AS financial statements, the management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors and Management is also responsible for overseeing the Company's financial reporting process.

We are informed that the Resolution Professional, Mr. Pratim Bayal (IBBI Regn. Number: IBBI / IPA-003 / IP-N00213 / 2018-2019 / 12385) has approved these financial statements as a part of the compliance required under various acts without prejudice and without any guarantee on the accuracy, adequacy, correctness, completeness or reliability of the financial statements as the same pertains and includes a period prior to the CIRP Commencement Date, closing balances of which year are being carried forward every year.

We are also informed that such approval by the Resolution Professional of these financial statements is to comply with the provisions of the Code and this without prejudice to the rights and contentions of the Resolution Professional under applicable laws. The Resolution Professional reserves/retains his right to file avoidance transactions under Section 43,45, 66, and 50 of the Code which is already filed by him dated 21st June 2021 (awaited approval) and that such approval of these financial statements shall not be in conflict with such proceedings that may be initiated before relevant court / tribunal.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE IND AS FINANCIAL STATEMENTS

Our responsibility is to conduct an audit of the Company's Ind AS Financial Statements in accordance with Standards on Auditing and to issue an auditor's report. However, because of the matters described in the Basis for Qualified Opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these Ind AS Financial Statements.

We are independent of the Company in accordance with the Code of Ethics and provisions of the Act that are relevant to our audit of the Ind AS Financial Statements in India under the Act, and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics and the requirements under the Act.

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OTHER MATTER

The comparative financial information of the Company for the year ended March 31, 2022 and the transition date opening balance sheet as at April 01, 2022 included in these Ind AS Financial Statements, are based on the previously issued statutory financial statements prepared in accordance with the Companies (Accounting Standards) Rules, 2006 audited by the undersigned whose report for the year ended March 31, 2022 dated 11th January, 2023 failed to express any opinion for the year ended March 31, 2022 on those financial statements.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, and except for the possible effects of the matters described in the Basis of Qualified Opinion section of our report, we give in "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by section 143(3) of the Act, we report to the extent applicable that:
 - a. As described in Basis for Qualified Opinion section of our report, we have sought but unable to obtain all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we are unable to state whether proper books of account as required by law have been kept by the Company;
 - c. In absence of proper books and accounts we cannot provide an opinion on the matter of agreement of the Balance Sheet, the Statement of Profit and Loss (including Other Comprehensive Income), the statement of Changes in Equity and the Statement of Cash Flows dealt with by this report with the data provided.
 - d. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we are unable to state whether, the aforesaid Ind AS Financial Statements comply with the Indian Accounting Standards specified under section 133 of the Act read with relevant rules issued thereunder;
 - e. Due to the possible effects of the matters described in the Basis for Qualified Opinion section of our report, we are unable to state whether they have an adverse effect on the functioning of the Company;

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- f. The reservation relating to the maintenance of accounts and other matters connected therewith are as stated in the Basis for Qualified Opinion section of our report read with paragraph 2(b) above;
- g. With respect to the adequacy of the internal financial controls with reference to the financial statements of the Company and the operating effectiveness of such controls, we give our separate report in "Annexure B"
- h. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act;
The Company has not paid any managerial remuneration during the year. Hence, the provisions of section 197 of the Act read with schedule V are not applicable to the company.
- i. Other than the possible effects of the matters described in the Basis for Qualified Opinion section of our report, with respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, we cannot express our opinion with respect to the following:
- i) Whether the Company has disclosed the pending litigations in its financial statements;
 - ii) Whether the Company has any long- term contracts, including derivative contracts.
 - iii) Whether there are any amounts which are required to be transferred to the investor education & protection fund by the Company.

For & Behalf of

M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants

Amit Kumar Surana

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

(CA. Amit Kumar Surana)

Proprietor

Membership No: 304957

UDIN: 23304957BGUPCA6202

Date: 02/09/2023

Place: Kolkata

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ANNEXURE-A

TO THE INDEPENDENT AUDITORS' REPORT

(Referred to in paragraph 1 under 'Report on Other Legal & Regulatory Requirements' section of our report of even date)

The Annexure referred to in Independent Auditors' Report to the members of BKM Industries Limited ("the Company") on the Standalone Financial Statements for the year ended 31st March 2023, we report that:

- (i) (a) (A) Since all accounting records and database of the Company had been deleted by the accounting service provider we cannot report on whether the Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
(B) On similar grounds we cannot report on whether the company is maintaining records on yearly basis for additions / deletions made during that year showing full particulars of intangible assets.
- (b) We cannot report on whether the Company has a regular programme of physical verification of its fixed assets, by which all fixed assets are verified in a phased manner
- (c) According to information and explanations given by the RP Mr. Pratim Bayal, the title deeds/lease deeds of immovable properties included in property, plant and equipment are held in the name of the Company except they are held in the physical possession of the lenders/Banks to whom it was mortgaged.
- (d) As informed to us, the RP has not revalued CD's Property, Plant and Equipment (including Right of Use assets) or Intangible Assets or both during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, no proceedings have been initiated or are pending against the company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 (previously known as Benami Transactions (Prohibition) Act, 1988) and rules made thereunder.
- (ii) (a) We cannot report on whether the inventory has been physically verified during the year;
(b) We cannot report on whether during any point of time of the year, the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the quarterly returns or statements filed by the company with such banks or financial institutions are in agreement with the books of account of the Company;
- (iii) We cannot report on whether the company has made investments in, provided any guarantee or security

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or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties and hence reporting under clause (iii) of the Order is not applicable.

- (iv) We cannot report on whether, the Company has complied with the provisions of section 185 and 186 of the Act in respect of grant of loans, making investments and providing guarantees and securities, as applicable.
- (v) We cannot report on whether, the Company has accepted any deposits from public and accordingly clause (v) of paragraph 3 of the Order is not applicable.
- (vi) We could not review any books of account and hence we cannot report on whether the Corporate Debtor is required to maintain books of account pursuant to the rules prescribed by the Central Government for maintenance of cost records under sub-section (1) of section 148 of the Act
- (vii) (a) According to the information and explanations given to us by the RP, amounts deducted/accrued in the books of account in respect of undisputed statutory dues including provident fund, employees' state insurance, income- tax, sales tax, service tax, duty of customs, duty of excise, CGST, SGST, IGST, UTGST, Value Added Tax, Cess and other material statutory dues could not be regularly deposited during the year by the Company as the CD is under CIRP and no payments can be made by the IRP/RP during the CIRP period until approval is received from the CoC members.
- (b) According to the information and explanations given to us, the following dues of Excise Duty, Service Tax, Entry Tax and Other Dues have not been deposited by the Company on account of disputes:

Name of the Statute	Nature of the Dues	Amount involved (Rs. in INR)	Period to which the amount relates	Forum where Disputes is pending
Central Excise & CGST Act	Excise Duty & Penalty	95,91,956.00	2017-18	Commissionerate Audit-II, Kolkata
Central Excise & CGST Act	Excise Duty & Penalty	64,779.00	2017-18	Asst. Commissionerate of CGST & C. Ex, Bankura Division
Central Excise Act, 1944	Excise Duty & Penalty	3,502,788.00	1991-99	Superintendent of Central Excise, Range-9
Central Excise Act, 1944	Excise Duty & Penalty	1,604,645.00	2012-13	Addl. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	1,729,833.00	2014-15	Jt. Commissioner, Hyderabad
Central Excise Act, 1944	Excise Duty & Penalty	29,504,533.00	2010-11	Commissioner of C.Ex., Hyderabad – I
Central Excise Act, 1944	Excise Duty & Penalty	2,558,384.00	1991-92	Commissioner of Central Excise, Kolkata

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Central Excise Act, 1944	Excise Duty & Penalty	2,856,822.00	1990-94	Collectorate of C.Ex, Cal – II
Central Excise Act, 1944	Excise Duty & Penalty	4,966,246.00	1991-94	Superintendent, C.Ex of HND
Central Excise Act, 1944	Excise Duty & Penalty	1,072,447.00	1992-15	A.C, C.Ex., CGR-I
Central Excise Act, 1944	Excise Duty & Penalty	568,850.00	2007-11	A.C., C.E.DGP
Central Excise Act, 1944	Excise Duty & Penalty	1,424,775.00	2007-08	Jt.Commr, Bolpur
Central Excise Act, 1944	Excise Duty & Penalty	835,713.00	1998-99	Additional Commissioner, Cal-IV
Central Excise Act, 1944	Excise Duty & Penalty	1,728,620.00	1993-04	Additional Commissioner, C.Ex of Cal-II
Central Excise Act, 1944	Excise Duty & Penalty	117,147.00	2013-14	Asstt. Commissioner, C.Ex, HND-II
Central Excise Act, 1944	Excise Duty & Penalty	266,145.00	2011-12	D.C., C.E, DGP
Central Excise Act, 1944	Excise Duty & Penalty	954,876.00	1995-97	Dy. Commissioner, C.Ex of Cal-II
Central Excise Act, 1944	Excise Duty & Penalty	31,262.00	2000-12	Joint Commissioner, C.Ex, Cal-IV
Central Excise Act, 1944	Excise Duty & Penalty	2,35,55,830.00	2015-16	Central Excise Commissionerate, kol-IV
Central Excise Act, 1944	Excise Duty & Penalty	46,425.00	2016-17	Asst. Commissioner of C.E-Bankura Division
Central Excise & CGST Act	Service Tax	2,69,000.00	2017-18	Asst. Commissioner of CGST & Central Excise, Durgapur Audit
Central Excise Act, 1944	Service Tax	31,69,656.00	2009-10	Asst. Commissioner, CE & ST Haldia-Div.I
MP Industrial Relation Act, 1960	Others	2,13,259.00	2014-15	Labour Court, Bhopal
The WB Entry Tax Act	Entry Tax	70,66,085.00	2011-17	High Court, Kolkata

- (viii) We cannot report on whether any transactions not recorded in the books of account have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
- (ix) (a) The Company has defaulted in repayment of loans or borrowings to banks/ financial institution repayment as at balance sheet date as mentioned below:

Name of the Bank	Date of Overdue Started	Amount claimed under CIRP (INR)
State Bank of India	20.09.2018	46,29,13,376

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ICICI Bank Limited	22.09.2018	15,52,73,428
IDBI Bank Limited	23.10.2018	14,15,32,787
Indian Bank	30.09.2018	29,13,40,013
Bank of Baroda	01.07.2019	7,54,57,203
Indiabulls Housing Finance (assigned its debt to Assets Care & Reconstruction Enterprises Ltd)	01.04.2019	24,26,83,117
TOTAL		1,36,91,99,924

(b) We cannot report on whether the company is a declared willful defaulter by any bank or financial institution or other lender;

(c) We cannot report on whether the term loans taken by the Company have been applied for the purpose for which they were raised;

(d) We cannot report on whether funds raised on short term basis have been utilized for long term purposes;

(e) We cannot report on whether the company has taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures;

(f) We cannot report on whether the company has raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies, if so, give details thereof and also report if the company has defaulted in repayment of such loans raised.

(x) (a) the Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments) during the year.

(b) According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Therefore, the provision of clause 3(xb) of paragraph 3 of the Order is not applicable to the Company.

(xi) (a) According to the information and explanations given to us, RP has filed PUF transactions application under IB Code against promoter/directors of the CD. No fraud by its officers or employees has been noticed or reported during the course of our audit.

(b) No report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors

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in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As per our information and according to the explanations given to us, no whistle blower complaints were received by the company during the year.

(xii) In our opinion and according to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, the provisions of clause (xii) (xii)(a), (xii)(b) and (xii)(c) of para 3 of the said order are not applicable to the Company.

(xiii) We cannot report on whether the company has entered into any transactions with the related parties and whether they are in compliance with section 177 & 188 of the Act where applicable.

(xiv) (a) As per the information received from the RP there is no internal audit system;

(b) clause (xiv) of paragraph 3 of the Order is not applicable as no internal audit was done.

(xv) We cannot report on whether the company has entered into any non-cash transactions with directors or persons connected with them.

(xvi) (a) According to the information and explanations given to us, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause (xvi) of paragraph 3 of the Order is not applicable.

(b) According to the information and explanations given to us by the management/RP, the company has not conducted any Non-Banking Financial or Housing Finance activities without a valid Certificate of Registration (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934.

(c) According to the information and explanations given to us by the management, the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.

(d) According to the information and explanations given to us by the management, the Group does not have any CIC as part of the Group, hence clause (xvi)(d) of paragraph 3 of the said order is not applicable to the company.

(xvii) In the absence of proper books and accounts and information we cannot report on whether the company has incurred cash losses in the financial year and in the immediately preceding financial year;

(xviii) There has been no resignation of the statutory auditors of the company during the year.

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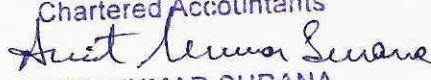


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- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and in our knowledge of the Board of Directors and management plans we are of the opinion that there exists a material uncertainty exists as on the date of the audit report that company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date due to Corporate Insolvency Resolution Process in progress.
- (xx) Since the report is being issued for standalone financial statements of the Company therefore reporting under clause (xxi) is not applicable.

For & Behalf of

M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants

AMIT KUMAR SURANA
Proprietor
M. No. - 304957
F. R. No. - 332194E

(CA. Amit Kumar Surana)
Proprietor
Membership No: 304957
UDIN: 23304957BGUPCA6202
Date:02/09/2023

Place: Kolkata

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ANNEXURE-B

TO THE INDEPENDENT AUDITORS' REPORT

Referred to in paragraph (g) under the heading 'Report on Other Legal and Regulatory Requirements' of our report of even date to the members of BKM Industries Limited for the year ended March 31, 2023

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of subsection 3 of Section 143 of the Companies Act, 2013 (the "Act")

We have audited the internal financial controls with reference to Standalone Financial Statements of **BKM Industries Limited**, ("the Company"), as of 31 March 2023 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's/RP Responsibility for Internal Financial Controls

The Corporate Debtor's powers of Board of Directors is suspended due to NCLT proceedings and the Resolution Professional appointed by the Hon'ble NCLT is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to the standalone Ind AS financial statements of the Company based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by the ICAI and prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting with reference to the standalone Ind AS financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to the standalone Ind AS financial statements and their operating effectiveness. Our audit of internal financial controls with reference to the standalone Ind AS financial statements included obtaining an understanding of internal financial controls over financial reporting,

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AMIT KUMAR SURANA & COMPANY

CHARTERED ACCOUNTANTS

assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the

auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

Due to limitation to access required information and data of the company, we could not obtain sufficient appropriate audit evidence to provide a basis for our audit opinion on the Company's internal financial controls system with reference to standalone Ind AS financial statements.

Meaning of Internal Financial Controls with reference to these standalone Ind AS financial statements

A company's internal financial control with reference to these standalone Ind AS financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to these standalone Ind AS financial statements includes those policies and procedures that

- (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the standalone Ind AS financial statements.

Inherent Limitations of Internal Financial Controls with reference to Standalone Ind AS Financial Statements

Because of the inherent limitations of internal financial controls with reference to these standalone Ind AS financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting with reference to these standalone Ind AS financial statements to future periods are subject to the risk that the internal financial control over financial reporting with reference to these standalone Ind AS financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

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AMIT KUMAR SURANA & COMPANY
CHARTERED ACCOUNTANTS

Opinion

In our opinion, the Company has, in all material respects, an inadequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were not operating effectively as at March 31, 2023, based on [for example, "the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI"].

For & Behalf of

M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants

Amit Kumar Surana

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

(CA. Amit Kumar Surana)

Proprietor

Membership No: 304957

UDIN: 23304957BGUPCA6202

Place: Kolkata

Date: 02/09/2023

Address : C -16, Cluster -9, Purbachal, Salt Lake, Kolkata – 700097

Phone : 9830869851, 9432569279, 033 23352022

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BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

BALANCE SHEET as on 31.03.2023

		(INR' Lakhs)	
Particulars	Note No.	As at 31st-Mar-23	As at 31st-Mar-22
I. ASSETS			
1. Non-current assets			
(a) Property, Plant and Equipment	1	3,324	3,452
(b) Capital Work-in-Progress	1	344	344
(c) Intangible assets	1	-	-
(d) Intangible assets under development			-
(e) Financial Assets			
(i) Investments	2	4,320	4,320
(ii) Trade receivables			-
(iii) Loans	4	440	440
(iv) Other financial assets	5	12	12
(f) Deferred tax assets (net)			-
(g) Other non-current assets	6	1,197	848
2. Current assets			
(a) Inventories	8	2,193	2,193
(b) Financial Assets			
(i) Investments			-
(ii) Trade receivables	3	4,956	4,956
(iii) Cash & cash equivalents	9	18	19
(iv) Bank balances other than	9	1	1
(v) Loans			-
(vi) Other financial assets			-
(c) Current Tax Assets (net)	10	23	23
(d) Other current assets	6	977	977
3. Non-current assets held for disposal	1	67	67
TOTAL ASSETS		17,872	17,652
II. EQUITY AND LIABILITIES			
1. Equity			
(a) Equity Share Capital	11	655	655
(b) Other Equity	12	548	763
2. Liabilities			
(i) Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	13	771	771
(ii) Trade payables	14		
outstanding dues of			-
outstanding dues of			-
creditors			-
(iii) Other financial liabilities	15	35	35
(b) Provisions	16	292	292
(c) Deferred tax liabilities (net)	7	528	527
(d) Other non-current liabilities	17	153	153
(ii) Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	13	12,411	12,411
(ii) Trade payables	14		
outstanding dues of			-
outstanding dues of			-
creditors			-
(iii) Other financial liabilities	15	136	136
(b) Other current liabilities	17	996	996
(c) Provisions	16	1,284	851
TOTAL EQUITY AND LIABILITIES		17,872	17,652

Notes forming an integral part of financial statements 1 to 29

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regd. No. :- 332194E

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants
Amit Kumar Surana
AMIT KUMAR SURANA
Proprietor
M. No. - 304957
F. R. No. - 332194E

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957
UDIN: 23304957BLUPCA6202

For and on behalf of the Board

B K Agrawal
B K Agrawal
(Chairman cum Managing Director)
DIN:520558

Navneet Manaksia
Navneet Manaksia
(Whole Time Director cum CFO)
DIN:438612

Pratim Bayal
Pratim Bayal
Resolution Professional

Date : 02.04.23
Place: Kolkata

STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 2023

(INR' Lakhs)

Particulars	Note No.	For the year ended 31st March, 2023	For the year ended 31st March, 2022
Income			
I. Revenue from Operations	18	-	-
II. Other Income	19	6	-
III. Other Gains/(Losses)	20	-	-
IV. Rounding Off		(1)	-
Total Income		5	-
IV. Expenses			
(a) Cost of Materials Consumed	21a	-	-
(b) Changes in Inventories (increase) /decrease	22	-	-
(c) Purchase of Stock In Trade	21b	-	-
(d) Depreciation and Amortization expenses	1	128	986
(e) Operating and Manufacturing Expenses	23	-	-
(f) Employee Benefit Expenses	24	-	-
(g) Finance cost	25	-	-
(h) Other Expenses	26	90	130
Total expenses		218	1,116
V. Profit Before exceptional items and tax		(214)	(1,116)
Exceptional items		-	-
VI. Profit Before Taxes		(214)	(1,116)
VII. Tax Expenses			
(a) Current Tax		-	-
(b) Deferred Tax Expenses/(Income)		1	376
VIII. Profit (Loss) from continuing operations		(215)	(1,492)
Profit (loss) from discontinued operations before tax		-	-
Tax expense of discontinued operations		-	-
IX. Profit (Loss) from discontinued operations (after tax)		-	-
X. Profit (Loss) for the year		(215)	(1,492)
XI. Other Comprehensive Income			
A (i) Items that will not be reclassified to profit or loss :			
(a) Revaluation Surplus of Property Plant & Equipment		-	-
(b) Re-measurement of defined employee benefit plans		-	-
(ii) Income tax relating to items that will not be reclassified to profit or loss :			
(a) on Revaluation Surplus on Property, Plant & Equipment		-	-
(b) on Re-measurement of defined employee benefit plans		-	-
B (i) Items that will be reclassified to profit or loss :			
(a) Changes in investments other than equity shares carried at Fair Value through OCI (FVOCI)		-	-
(ii) Income tax relating to items that will be reclassified to profit or loss :			
XII. Total Other comprehensive Income after tax		-	-
XIII. Total comprehensive income for the period		(215)	(1,492)
XIV. Earnings per equity share (for continuing operation):			
(1) Basic		(0.3)	(2.3)
(2) Diluted		(0.3)	(2.3)
XV. Earnings per equity share (for discontinued operation):			
(1) Basic		-	-
(2) Diluted		-	-
XVI. Earnings per equity share (for continuing & discontinued operations):			
(1) Basic		(0)	(2)
(2) Diluted		(0)	(2)

Notes forming an integral part of financial statements

1 to 29

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. : - 332194E

For and on behalf of the Board

For AMIT KUMAR SURANA & COMPANY
Chartered Accountants
Amit Kumar Surana

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957

UDIN: 23304957B6U0PCAG202

B K Agrawal
B K Agrawal
(Chairman cum Managing Director)
DIN: 520558

Navneet Manaksia
Navneet Manaksia
(Whole Time Director cum CFO)
DIN: 438612

Pratim Bayal
Pratim Bayal
Resolution Professional

Date : 02.09.23
Place: Kolkata

STATEMENT OF CHANGES IN EQUITY

A. Equity Share Capital

Particulars	Amount
As at 31 March 2022	655
Changes in equity share capital	
As at 31 March 2023	655

(INR Lakhs)

B. Other Equity

Particulars	Attributable to owners of BKM Industries Limited					Total other equity
	Capital Reserves	General Reserves	Securities Premium	Retained Earnings	Other Comprehensive Income Revaluation Reserves	
Balance at 31 March 2022	5	6,170	4,171	(11,043)	1,460	763
Profit for the year	-	-	-	(215)	-	(215)
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income for the year	-	-	-	(215)	-	(215)
Other Adjustments	-	-	-	-	-	-
Issue of equity shares	-	-	-	-	-	-
Dividends paid	-	-	-	-	-	-
Balance at 31 March 2023	5	6,170	4,171	(11,258)	1,460	548

As per our report of even date attached

For M/s. Amit Kumar Surana & Company

Chartered Accountants

Firm Regn. No. : - 332194E

For and on behalf of the Board

For AMIT KUMAR SURANA & COMPANY

CA. Amit Kumar Surana

(Proprietor)

Membership No: 304957

UDIN: 23304957B10P1A6202

AMIT KUMAR SURANA

Proprietor

M. No. - 304957

F. R. No. - 332194E

B K Agrawal
B K Agrawal

Navneet Manaksia
Navneet Manaksia

(Chairman cum Managing Director)

DIN: 520558

(Whole Time Director cum CFO)

DIN: 438612

Date: 02.09.23

Place: Kolkata

Pratim Bayal
Pratim Bayal
Resolution Professional

STATEMENT OF CASH FLOWS

(INR Lakhs)

Particulars	Year Ended 31st March 2023	Year Ended 31st March 2022
A Operating Activities		
Profit before tax from continuing operations	(213)	(1,116)
Profit/(loss) before tax from discontinuing operations	-	-
Profit before tax	(213)	(1,116)
Adjustments for:		
Depreciation on Property, Plant and Equipment	128	981
Amortisation of intangible assets	-	5
Finance Cost (including fair value changes in financial instruments)	-	-
Net foreign exchange differences	-	-
Interest Income (including fair value changes in financial instruments)	(6)	-
Dividend Income	-	-
Provision for Gratuity	-	-
(Profit)/Loss on sales of Property, Plant and Equipment	-	-
Net (Gain)/Loss on remeasurement of Financial Assets carried FVTPL	-	-
Changes due to amortisation and interest on lease-hold assets under Ind AS-116	-	-
Operating profit / (loss) before working capital changes	(90)	(130)
Working capital adjustments:		
Decrease/(Increase) in Trade receivables	-	3
Decrease/(Increase) in Loans	-	-
Decrease/(Increase) in Inventories	-	-
Decrease/(Increase) in Other financial assets	-	-
Decrease/(Increase) in Other current assets	-	-
(Decrease)/Increase in Trade payables	-	-
(Decrease)/Increase in Other financial liability	-	-
(Decrease)/Increase in Other current liability	433	138
(Decrease)/Increase in Provisions	-	-
	343	10
Income taxes paid	-	-
NET CASH INFLOW (OUTFLOW) FROM OPERATING ACTIVITIES (A)	343	10
B Investing Activities		
Purchase of Property, Plant and Equipment	-	-
Purchase of Intangible Assets	-	-
Changes in Capital Work In Progress	-	-
Invested in FD	(350)	-
Sale of Property, Plant and Equipment	-	-
(Purchase)/Sale of Investments	-	-
Interest received (finance income)	6	-
Dividend received	-	-
NET CASH INFLOW (OUTFLOW) FROM INVESTING ACTIVITIES (B)	(344)	-
C Financing Activities		
Proceeds from issue of equity shares	-	-
Interest paid	-	-
Proceeds/(Repayment) from borrowings	-	-
Dividends paid including Dividend Distribution Tax	-	-
NET CASH INFLOW (OUTFLOW) FROM FINANCING ACTIVITIES (C)	-	-
Net increase (decrease) in cash and cash equivalents (A+B+C)	(2)	10
Cash and cash equivalents at the beginning of the year	20	10
Cash and cash equivalents at year end	18	20

This statement of cash flows have been prepared as per indirect method as prescribed under Ind AS 7 "Statement of Cash Flows".

As per our report of even date attached
For M/s. Amit Kumar Surana & Company
Chartered Accountants
Firm Regn. No. :- 332194E

CA. Amit Kumar Surana
(Proprietor)
Membership No: 304957

UDIN:

23304957BUPCA6102

Date : 02.09.23
Place: Kolkata

AMIT KUMAR SURANA & COMPANY
Chartered Accountants

AMIT KUMAR SURANA
Proprietor
M. No. - 304957
F. R. No. - 332194E

B K Agrawal Navneet Manaksia

(Chairman cum
Managing Director)
DIN:520558

(Whole Time Director
cum CFO)
DIN:438612

Pratim Bayal
Pratim Bayal
Resolution Professional

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 1: PROPERTY, PLANT AND EQUIPMENT

Particulars	Freehold Land	Leasehold Land	Buildings (Freehold & leasehold)	Furniture, Fittings and Equipment	Plant and Machinery	Office Equipment	Vehicles	TOTAL	Capital Work- in-Progress	Intangible Assets
Gross Carrying Amount										
At 31st March, 2022	2,267	-	1,580	485	6,933	277	162	11,704	344	79
Additions/Adjustments during the year	-	-	-	-	-	-	-	-	-	-
Disposals/ Capitalised during the year	-	-	-	-	-	-	-	-	-	-
At 31st March, 2023	2,267	-	1,580	485	6,933	277	162	11,704	344	79
Accumulated Depreciation and Impairment										
At 31st March, 2022	-	-	1,070	485	6,190	277	162	8,185	344	79
Depreciation charge for the year	-	-	43	-	85	-	-	128	-	-
Disposals during the year	-	-	-	-	-	-	-	-	-	-
At 31st March, 2023	-	-	1,113	485	6,275	277	162	8,313	344	79
Net Book Value At 31st March, 2023	2,267	-	467	-	659	-	-	3,391	-	-
Net Book Value At 31st March, 2022	2,267	-	510	-	744	-	-	3,519	-	-
Depreciation rate			8	13	11	30	16			44

Net Book Values

Particulars	As at 31st March 2023 INR Lakhs	As at 31st March 2022 INR Lakhs
Property, Plant and Equipment (PPE)		
(a) PPE other than held for sale	3,324	3,452
(b) PPE held for sale (Refer Note V below)	67	67
Capital Work-in-progress	344	344
Intangible Assets	-	-

The details of Assets held for sale as at end of each period is as below :-

Particulars	As at 31st March 2023 INR Lakhs	As at 31st March 2022 INR Lakhs
(i) Property, Plant and Equipment		
Opening Balance/Deemed Cost	67	67
(+) Additions	-	-
(-) Deletions	-	-
Carrying Amount/Deemed Cost	67	67

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 2: INVESTMENTS

Particulars	As at 31st March 2023	As at 31st March 2022
Investment in Equity Instruments:		
Investment in Subsidiary Entities		
(a) Euroasian Ventures FZE 25 Equity shares fully paid of face value AED 1000000 each (on 31st March, 2020: 25 Equity shares fully paid of face value AED 1000000 each)	3,239	3,239
(b) Glitter Agencies Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	499	499
(c) Jiwanjyoti Vanijya Private Limited 4990000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 4990000 Equity shares fully paid of face value of 10 each)	499	499
(d) BK Manaksia Nigeria Limited 39990000 Equity shares fully paid of face value of each (on 31st March, 2020: 39990000 Equity shares fully paid of face value of each)	82	82
(e) BKM Agrotech Private Limited 10000 Equity shares fully paid of face value of 10 each (on 31st March, 2020: 10000 Equity shares fully paid of face value of 10 each)	1	1
Total	4,320	4,320
(i) Non-current	4,320	4,320
(ii) Current	-	-
	4,320	4,320
Investments measured:		
(a) At Amortized Cost	4,320	4,320
(b) At Fair Value through Profit & Loss (FVPL)	-	-
(c) At Fair Value through Other Comprehensive Income (FVOCI)	-	-
	4,320	4,320

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 3: TRADE RECEIVABLES

Particulars	As at 31st March 2023	As at 31st March 2022
Secured, considered good		
(i) Non-Current	-	-
Sub-Total	-	-
(ii) Current		
Gross Trade Receivables	4,956	4,956
Less: Trade Receivable Written off		-
Less: Impairment loss/(gain) on financial assets		-
Sub-Total	4,956	4,956
Total	4,956	4,956

Trade receivables are non-interest bearing and are generally on terms of 90 to 180 days.

Note - 4: LOANS

Particulars	As at 31st March 2023	As at 31st March 2022
Secured, considered good		
(i) Non Current		
Security Deposits	9	9
Inter-corporate Loans & Deposits*	431	431
Deposits with Government Authorities		-
Sub-Total	440	440
(ii) Current		
Security Deposit	-	-
Inter-corporate Loans & Deposits*	-	-
Sub-Total	-	-
Total	440	440

*Inter-corporate loans and deposits includes related parties and other corporates.

Note - 5: OTHER FINANCIAL ASSETS

Particulars	As at 31st March 2023	As at 31st March 2022
(i) Non-Current		
Other bank balances*	-	-
Sub-Total	-	-
Other financial assets		
(a) Application money paid towards subscription of securities	12	12
(b) Others		-
Sub-Total	12	12
Total	12	12
(ii) Current		
Other bank balances*	1	1
Sub-Total	1	1
Other financial assets		
(a) Derivative Financial Asset	-	-
(b) Others	-	-
Sub-Total	-	-

Total

1

1

***Details of other balances with banks.**

Particulars	As at 31st March 2023	As at 31st March 2022
Earmarked Balances with Banks*	1	1
Term Deposits with Bank	-	-
Margin money, guarantee and security with banks**		-
Total	1	1

*Earmarked balances with banks denotes balances held for unpaid dividends and are denominated & held in Indian Rupees (INR).

**The margin money, guarantee and security with banks includes deposits held as collateral Security.

Note - 6: OTHER NON-CURRENT ASSETS

Particulars	As at 31st March 2023	As at 31st March 2022
(i) Non-Current		
Capital Advance		-
Fixed Deposit	350	-
Balances with Government Authorities	7	7
Prepaid Lease Rentals	841	841
Other Loans & Advances		-
Sub-Total	1,197	848
(ii) Current		
Capital Advance		-
Security Deposit		-
Balances with Government Authorities	418	418
Other Loans & Advances	560	559
Sub-Total	977	977
Total	1,825	1,825

Note - 7: DEFERRED TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2023	As at 31st March 2022
Property, Plant and Equipment	(699)	(698)
Intangible Assets	-	-
Employee Benefit Obligation	99	99
MAT Credit Entitlement	72	72
Impairment loss/(gain) on financial assets	-	-
Total	(528)	(527)

Note - 8: INVENTORIES

Particulars	As at 31st March 2023	As at 31st March 2022
(a) Raw Materials	1,174	1,174
(b) Work-in-Process	331	331
(c) Finished Goods	327	327
(d) Stores & Spares	204	204
(e) Stock in Transit		-
(f) Scraps	157	157
Total	2,193	2,193

Note - 9: CASH AND CASH EQUIVALENTS

Particulars	As at 31st March 2023	As at 31st March 2022
Balances with banks		
(i) Cash at bank	0	0
(ii) Cash at PNB	14	16
(iii) Cash on hand	4	4
(iv) Cheques on hand		
Sub Total	18	20
Less : Amount grouped under other bank balances	1	1
Total	18	19

Note - 10: CURRENT TAX ASSETS/ (LIABILITIES) (NET)

Particulars	As at 31st March 2023	As at 31st March 2022
Income tax payable	-	
Income tax receivable	23	23
Total	23	23

BKM INDUSTRIES LIMITED
(CIN-L27100WB2011PLC161235)

Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 11: SHARE CAPITAL

Particulars	As at 31st March 2023	As at 31st March 2022
Equity Share Capital		
a) Authorised		
75000000 (on 31st March, 2020: 75000000) Equity Shares of Rs.1/- each	750	750
	<u>750</u>	<u>750</u>
b) Issued, Subscribed and Paid Up		
Equity Shares:		
65534050 (on 31st March, 2020: 65534050) Equity Shares of Rs. 1 each fully paid up	655	655
Total	<u>655</u>	<u>655</u>

Above figures in bracket pertains to immediately preceding previous period figures.

c) Reconciliation of number of equity shares are set out below:

Particulars	As at 31st March 2023	As at 31st March 2022
i) Shares outstanding at the beginning of the financial year	65,534,050	65,534,050
ii) Issued during the year		-
iii) Shares forfeited/brought back/cancelled during the year		-
iv) Shares outstanding at the end of the financial year	<u>65,534,050</u>	<u>65,534,050</u>

d) Details of shareholders holding more than 5% of shares

Name of the Shareholders	As at 31st March 2023		As at 31st March 2022	
	% held	No. of Shares	% held	No. of Shares
Basant Kumar Agrawal	22%	14455940	22%	14455940
Navneet Manaksia	14%	9500000	14%	9500000
Aditya B Manaksia	14%	9500000	14%	9500000
ICICI Bank Limited	10%	6553405	10%	6553405

(a) The Company has a single class of equity shares having par value of Re. 1 each. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees (INR). The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.

(b) In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(c) The company is not a subsidiary company.

(d) In terms of the scheme of arrangement under section 391 to 394 of the Companies Act, 1956 ('the Scheme') between Manaksia Limited, Manaksia Industries Limited ('the Company') and other three transferee Companies, Manaksia Limited has demerged its business and undertakings namely, Aluminium Undertaking, Steel Undertaking, CMMC Undertaking and Packaging Undertaking to four separate transferee Companies. In terms of the Scheme 65,534,050 equity shares of Re. 1/- each fully paid-up, of the Company have been issued payment being received in cash, in the ratio of 1 (one) fully paid-up equity share of Re. 1/- each of the Company for every equity share held in Manaksia Limited.

(e) The company has changed its name from Manaksia Industries Limited to BKM Industries Limited with effect from 16th of October, 2017.

(f) No Shares has been reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.

(g) For the period of five years immediately preceding the date at which the balance sheet is prepared, the company has not:

- a. Issued class of shares allotted as fully paid up pursuant to contract without payment being received in cash;
- b. Issued class of shares allotted as fully paid up by way of bonus shares; and
- c. Issued class of shares bought back.

Note - 12: OTHER EQUITY

Particulars	As at 31st March 2023	As at 31st March 2022
a. Capital Reserve		
Opening Balance	5	5
Less: Transferred to Retained Earnings	-	-
Sub Total	5	5
b. Securities Premium		
Opening Balance	4,171	4,171
Add: Additions during the year	-	-
Sub Total	4,171	4,171
c. General Reserves		
Opening Balance	6,170	6,170
Add: Addition during the year	-	-
Less: Dividend paid	-	-
Sub Total	6,170	6,170
d. Revaluation Surplus		
Opening Balance	1,460	1,460
Add: Net fair value gain/(loss) on revaluation of Property, Plant and Equipment during the period	-	-
Less: Income tax effect thereof	-	-
Sub Total	1,460	1,460
e. Retained Earnings		
Opening Balance	(11,043)	(9,551)
Add: Profit/(Loss) during the year	(215)	(1,492)
Add: Re-measurement of defined employee benefit plans through OCI Net of Tax	-	-
Add: Net fair value gain/(loss) on investments during the period	-	-
Less: Impairment loss on financial assets	-	-
Add: Restatement of Property, Plant & Equipment Depreciation on Capital Stores	-	-
Add: Grant on Re-measurement of interest Free Loan	-	-
Less: Unrecognized Interest on Interest Free Loan	-	-
Less: Other Adjustments	-	-
Sub Total	(11,258)	(11,043)
Total	548	763

BKM INDUSTRIES LIMITED
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Notes to the Standalone Financial Statements

(INR ' Lakhs)

Note - 13: BORROWINGS

Particulars	As at 31st Mar 2023	As at 31st March 2022
(i) Non-Current Borrowings		
Secured Loan		
(a) Term Loan From Banks & Financial Institutions		-
(b) Term Loan From others		-
Unsecured Loan		
(a) Loans from Bank		-
(b) Loans from Others		-
(c) Deferred Sales Tax Liability	771	771
Total non-current borrowings	771	771
(ii) Current Borrowings		
Secured Loan		
From Banks		
(a) Term Loan From Banks & Financial Institutions	3,187	3,187
(b) Buyers Credit	7,461	7,461
Unsecured Loan		
From Others	1,763	1,763
Total current borrowings	12,411	12,411

- (a) The Current part of Long Term Borrowings, as above, have been shown under Other financial liabilities (Note No 15), as Current Maturities of long term debt.
- (b) The Company's Secured Corporate Loan facilities are secured by First Charge on Fixed Asset (Movable and Immovable) of the Company. The amount is further secured by second charge on the current assets of the Company, both present and future.
- (c) Company's Loan against property from NBFC is secured by Charge against properties of subsidiary companies - Jiwanjyoti Vanijya Pvt Ltd and Glitter Agencies Pvt Ltd. The amount is further secured by pledge of company's investment in Equity shares of those companies. Rate of interest of this kind of loan is LFRF (LAP Floating reference rate notified time to time) -7.25% margin. These loans are repayable in Equated Monthly Instalments over a period of 10 years.
- (d) Vehicles loan are secured by charge against the vehicles obtained from those loans. Rate of interest on vehicles loans ranges between 8.5% To 10% p.a. These loans are repayable between 3 to 5 years from date of disbursement.
- (e) The Company's Working Capital facilities from banks are secured by First Charge on the current assets and First Charge on Fixed Assets of unit at Bankura ranking pari passu with the respective Working Capital Bankers. The amount is further secured on second charge basis on fixed assets of the Company (except at Bankura unit) ranking pari passu with the respective Working Capital Bankers.
- (f) The sales tax loan is repayable in annual instalments which range from a maximum of INR 167.47 lakhs to a minimum of INR 21.70 lakhs over the period from 1998-1999 to 2012-2013. The amount outstanding is free of interest.
- (g) During the financial year 2018-19 an amount of INR 3,27,67,025 brought in by promoters of the company by way of invocation of pledged shares in pursuance of loan from ICICI Bank Limited.

Note - 14: TRADE PAYABLES

Particulars	As at 31st Mar 2023	As at 31st March 2022
i. Non-Current		
(A) Total outstanding dues of micro enterprises and small enterprises#	-	-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises	-	-
Sub-Total	-	-
ii. Current		
(A) Total outstanding dues of micro enterprises and small enterprises#		-
(B) Total outstanding dues of creditors other than micro enterprises and small enterprises*	136	136
Sub-Total	136	136
Grand Total	136	136

* Outstanding dues of creditors includes payable towards statutory audit fees of INR 40 lakhs.

Note - 15: OTHER FINANCIAL LIABILITIES

Particulars	As at 31st Mar 2023	As at 31st March 2022
i. Non-Current		
Security Deposits From Consignment Agencies	35	35
Sub-Total	35	35
ii. Current		
Current Maturity of Long term debt		-
Interest Accrued but not Due	425	425
Others	572	571
Total	996	996
	1,032	1,032

Note - 16: PROVISIONS

Particulars	As at 31st Mar 2023	As at 31st March 2022
(i) Provision for Employee Benefits	-	-
(ii) Provision for Gratuity	354	354
Total	354	354
(i) Non Current	292	292
(ii) Current	62	62
Total	353	354

Note - 17: OTHER CURRENT LIABILITIES

Particulars	As at 31st Mar 2023	As at 31st March 2022
i. Non-current		
(i) Leasehold building liability	153	153
Total	153	153
ii. Current		
(i) Statutory Dues Payable	704	704
(ii) Customer Advances	-	-
(iii) Unpaid Dividend Account#	1	1
(iv) COC	225	146
(iv) EMD money received from RA	354	
Total	1,284	851

BKM INDUSTRIES LIMITED
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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 18: REVENUE FROM OPERATIONS

Particulars	31st March 2023	31st March 2022
Sale of Products		
Sale of Services		
Other Operating Revenue		
Total	<u>-</u>	<u>-</u>
Sale of Products :		
Gross Sale of Products	-	
Less: Discounts	-	
Less : Goods & Services Tax	-	
Net Sale of Products	<u>-</u>	<u>-</u>

Note - 19: OTHER INCOME

Particulars	31st March 2023	31st March 2022
Interest Income :		
Interest Income From Financial Assets measured at Amortized Costs		17
Dividend Income :		
Dividend Income From Financial Assets Measured at Amortized Costs		
Dividend Income From Financial Assets Measured at Fair Value through Other Comprehensive Income		
Other Items :		
Rental Incomes		
Export Incentives and Benefits		
Unwinding of Interest on Security Deposits		0
Revenue Grants		
Interest received on FD	6	
Total	<u>6</u>	<u>17</u>

Note - 20: OTHER GAINS/ (LOSSES)

Particulars	31st March 2023	31st March 2022
Net gain/(losses) on disposal of Property, Plant & Equipment		(159)
Net foreign exchange gain /(losses)		(55)
Other Items		
Total	<u>-</u>	<u>(214)</u>

BKM INDUSTRIES LIMITED
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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 21a: COST OF MATERIAL CONSUMED

Particulars	31st March 2023	31st March 2022
Material and components consumed		
Opening Stock		1,174
Add: Material Purchased during the year		-
Less: Closing Stock		(1,174)
Total	<u>-</u>	<u>-</u>

Details of materials consumed

Particulars	31st March 2023	31st March 2022
Aluminium		
Tin Free Steel Sheet		
Others		
Total	<u>-</u>	<u>-</u>

Note - 21b: PURCHASE OF STOCK-IN-TRADE

Particulars	31st March 2023	31st March 2022
Tea		-
Others		-
Sub-Total	<u>-</u>	<u>-</u>

Note - 22: CHANGES IN INVENTORIES

Particulars	31st March 2023	31st March 2022
Opening Stock		
Finished Goods	327	327
Semi-Finished Goods	331	331
Scrap Material	157	157
Sub-Total	<u>815</u>	<u>815</u>
Less:- Closing Stock		
Finished Goods	327	327
Semi-Finished Goods	331	331
Scrap Material	157	157
Sub-Total	<u>815</u>	<u>815</u>
INCREASE(-)/DECREASE(+)	<u>-</u>	<u>-</u>

BKM INDUSTRIES LIMITED
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Notes to the Standalone Financial Statements

(INR' Lakhs)

Note - 23: OPERATING AND MANUFACTURING EXPENSES

Particulars	31st March 2023	31st March 2022
Consumption of Stores and Consumables		
Power and Fuel		0
Processing Charges		
Cleaning Charges		
Carriage Inward		
Other Manufacturing Expenses		
Total	-	0

Note -24: EMPLOYEE BENEFIT EXPENSES

Particulars	31st March 2023	31st March 2022
Salaries, Wages & Bonus		59
Contribution to Provident and other Funds		3
Workmen & Staff welfare Expenses		31
Total	-	93

Note -25: FINANCE COST

Particulars	31st March 2023	31st March 2022
Interest on Borrowings:		
On Fixed Loans		96
On Others *		146
Interest on finance lease obligations		
Total	-	242

* Interest to others includes interest on other advances.

Note -26: OTHER EXPENSES

Particulars	31st March 2023	31st March 2022
Repairs & Renewals:		
Plant & Machinery		
Building		
Others		
Lease Rent		12
Rental Charges other than lease		11
Auditors Remuneration (Note 31)		
Insurance		0
Rates and related Taxes		
Bank Commission and Banking Administration Charges		0
Packing Expenses		
Freight Forwarding & Handling Expenses		12
Communication Expenses		0
Impairment (loss)/gain on financial assets		79
Travelling Conveyance		0
Miscellaneous Expenses		256
Prior period Errors		(0)
Donation		
Corporate Social Responsibility Expenses (Note 32)		
CIRP cost		
	90	3
	90	373

Note - 27 DETAILS OF PAYMENT TO AUDITORS

Particulars	31st March 2023	31st March 2022
As Auditors		
Audit Fees		
Tax Audit Fee	-	-
In other Capacity		
Taxation matters	-	-
Company Law matters	-	-
Certification fees	-	-
Re-imburement of Expenses	-	-
	<u>-</u>	<u>-</u>

Note - 28: CORPORATE SOCIAL RESPONSIBILITY EXPENSES

Particulars	31st March 2023	31st March 2022
Contribution to Charity Foundation	-	-
Outlay on Others CSR Projects	-	-
Total	<u>-</u>	<u>-</u>
Amount required to be spent as per Section 135 of the Act	-	-
Amount spent during the year On :		
(1) Construction or Acquisition of Assets	-	-
(2) On purposes other than (1) above	-	-
Total	<u>-</u>	<u>-</u>
Excess/(Short) Amount Spend	<u>-</u>	<u>-</u>

BKM Industries Limited

Note - 29 Computation of Tax Base of PPE under Income Tax Act - 1961 as on 31st March, 2023

Sl. No.	PARTICULARS	GROSS BLOCK						DEPRECIATION		NET BLOCK	
		W.D.V as on 01.04.2022	Addition for more than one days (Net of CENVAT)	Addition for less than one days (Net of CENVAT)	Adjustment/ Sale/ Disposal	Total addition (Net of Taxes)	GRAND TOTAL	Rate	Amount of Depreciation for the year	As on 31.03.2023	As on 31.03.2022
1	Plant & Machinery @15%	₹ 55,592,000	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 55,592,000	₹ 0.15	₹ 8,338,800	₹ 47,253,200	₹ 55,592,000
2	Computer @40%	₹ 154,018	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 154,018	₹ 0.40	₹ 61,607	₹ 92,411	₹ 154,018
3	Building @10%	₹ 34,550,001	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 34,550,001	₹ 0.10	₹ 3,455,000	₹ 31,095,001	₹ 34,550,001
4	Furniture & Fixture @10%	₹ 2,369,085	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 2,369,085	₹ 0.10	₹ 236,909	₹ 2,132,177	₹ 2,369,085
5	Ship @20%	₹ 30,184	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 30,184	₹ 0.20	₹ 6,037	₹ 24,147	₹ 30,184
6	Motor Car/Vehicle @15%	₹ 8,338,952	₹ 0	₹ 0	₹ 0	₹ 0.00	₹ 8,338,952	₹ 0.15	₹ 1,250,843	₹ 7,088,109	₹ 8,338,952
	TOTAL	₹ 101,035,140	₹ 0.00	₹ 0.00	₹ 0.00	₹ 0.00	₹ 101,035,140		₹ 13,349,555	₹ 87,685,585	₹ 101,035,140

BKM Industries Limited

Deferred Tax Impact as on 31st March, 2023

(INR' Lakhs)

Particulars	Rate (%)	Accounting Base as on 31.03.2023	Tax Base as on 31.03.2023	Closing Deferred Tax (Liability)/Asset as on 31.03.2023
Property, Plant and Equipment	28%	3,391	877	(699)
Intangible Assets	28%	-	-	-
Employee Benefit Obligation	28%	354	-	99
MAT Credit Entitlement	100%	-	72	72
Impairment loss/(gain) on financial assets	28%	-	-	-
Deferred Tax Liability as on 31.03.2023		3,745	949	(528)
Deferred Tax Liability as on 31.03.2022				(527)
Deferred Tax (Income)/ Expense to be booked during the period ended 31st March 2022				1